DRAFT — NOT SENT · Prepared for John Quinn review · Confidential

October [__], 2026

James R. Wertz
Director, Scorpius Space Launch Company
President, Microcosm, Inc.
3111 Lomita Blvd, Torrance, CA 90505

Re: The April 30, 2026 Microcosm and Bookstore entries, and an opportunity to correct them before the Board acts

Jim,

I am writing to you directly, before raising this with the full Board or the shareholders, because I would rather we fix this together. In reviewing SSLC's QuickBooks for the acquisition, I found a set of entries recorded on April 30, 2026 that move value from SSLC's shareholders to Microcosm, Inc. and Microcosm Astronautics Books. I was not told about them and they were not brought to the Board. Below is what the books show, what it means for the shareholders, and what I am asking you to do.

1. What the books show

April 30, 2026 entry (per SSLC's QuickBooks)	Amount	Effect
Accounts payable to Microcosm reclassified to 2385 Due to Microcosm	$426,687	Vendor invoices become a fixed insider balance to be paid at close
Interest capitalized into 2700 Notes Payable, Bookstore	$97,302	New liability to Microcosm Astronautics Books
SSLC's loans to Microcosm (2019 to Oct 2025) booked, then fully netted	$812,699	SSLC's receivable from Microcosm eliminated
offset against: Loan Payable, Microcosm	$294,499	Needs the loan documents
offset against: pre-6/2025 'reimbursables'	$423,965	No invoices provided
offset against: 'Judy's time'	$61,290	No invoices provided
offset against: reimbursable	$32,946	No invoices provided

In addition, since July 2024 SSLC has paid 100% of the Lomita Blvd rent and utilities (it paid about 50% before), while Microcosm continues to occupy the building and keep its name on it. Microcosm's former share, about $316K of rent and $35K of utilities through August 2026, has never been credited against the $451,429 shown as Due to Microcosm. Over the same period, SSLC paid Microcosm entities about $1.31M (2024 to 2025), while Exos's $31,200 loan remains past due.

2. Why this looks like self-dealing

I am not assuming bad intent. But anyone reviewing this, including a buyer, a fairness-opinion provider or a court, would see the following:

- Every entry favors entities you and Alice control, and every one increases what SSLC pays them at close, ahead of the shareholders.
- The entries were made under the direction of interested officers (you as Microcosm's President; Alice as SSLC's CFO and Secretary) and were not disclosed to or approved by the disinterested directors (Cal. Corp. Code §310).

- The accounting firm was retained over my objection and worked directly with you and Alice, while my director access to the books was delayed for months. The bylaws give every director an "absolute right" to inspect the books (Art. VII §4; Art. V §10; Cal. Corp. Code §1602).
- The timing: the entries were booked while a sale was pending, when insider balances paid at face come straight out of the proceeds going to shareholders.
- Insider interest was capitalized while the one outside lender, Exos, went unpaid.

3. What it costs the other shareholders

Every dollar paid to Microcosm or the Bookstore at close comes out of the proceeds shared by all 714,972 non-Exos shares. The Microcosm/Wertz group holds 383,000 of those shares, so about 46% of each such dollar comes from the other holders.

	Insider claims	**Change**
As booked: Due to Microcosm $451,429 + Bookstore $320,582 + Wertz loan $92,500	$864,511	—
Corrected for the facility share (~$351K) and the capitalized interest ($97K)	$416K	−$448K
…and if the $518K of netting offsets cannot be supported by invoices	Microcosm owes SSLC	−$967K

Lost by each holder if not corrected	**Step 1**	**Step 1 + 2**
Robert Conger (73,000 shares)	$46K	$99K
Markus Rufer (91,000 shares)	$57K	$123K
John Kulpa (30,332 shares)	$19K	$41K
Ed Keith (22,000 shares)	$14K	$30K
All other non-Wertz holders (115,640 shares)	$73K	$156K
Total, holders outside the Microcosm/Wertz group	**$208K**	**$449K**

Base case at a January 15, 2027 close: about $1.51M of net cash to holders as booked, about $1.86M with the facility credit alone. Shares per SSLC's 08-2024 register; amounts are estimates until SSLC provides the support requested.

4. The opportunity to make it right

I would like to bring this to the Board as a correction you initiated. By Friday, October 16, 2026, please confirm in writing that you and Microcosm will:

1. Treat the April 30, 2026 entries as disputed (reversed or flagged) until they are reviewed, and provide the invoices and agreements behind each offset and the Bookstore and Wertz notes.
2. Credit Microcosm's share of rent and utilities from July 2024 against the Due to Microcosm balance, or show the written agreement that says otherwise.
3. Agree that no Microcosm, Bookstore or Wertz balance will be paid, netted, secured or accrue further interest before close without approval by the disinterested directors.
4. Support an independent accountant, chosen by the disinterested directors, to reconcile these balances and the billed-ahead account.
5. Give me full read-only QuickBooks access by October 15, as already requested.

If we do this together, the shareholders, including the minority holders who have been with SSLC for 25 years, see accurate books and a clean path to close, and the question of how these entries were made does not have to go any further.

If we cannot resolve it by then, I will put the full detail before the Board and the shareholders and act on it as a director and on behalf of Exos as an 18.06% shareholder. Exos reserves all of its rights.

I would rather make the phone call than send the next letter. Call me any time.

Sincerely,

John M. Quinn
Director, Scorpius Space Launch Company
Cofounder & CEO, Exos Aerospace Systems & Technologies, Inc.

Figures are from SSLC's QuickBooks (Balance Sheet 10/11/2026; Transaction Detail by Account 1/1/2024–10/12/2026) and SSLC's share register. Confidential under the July 27, 2021 NDA.